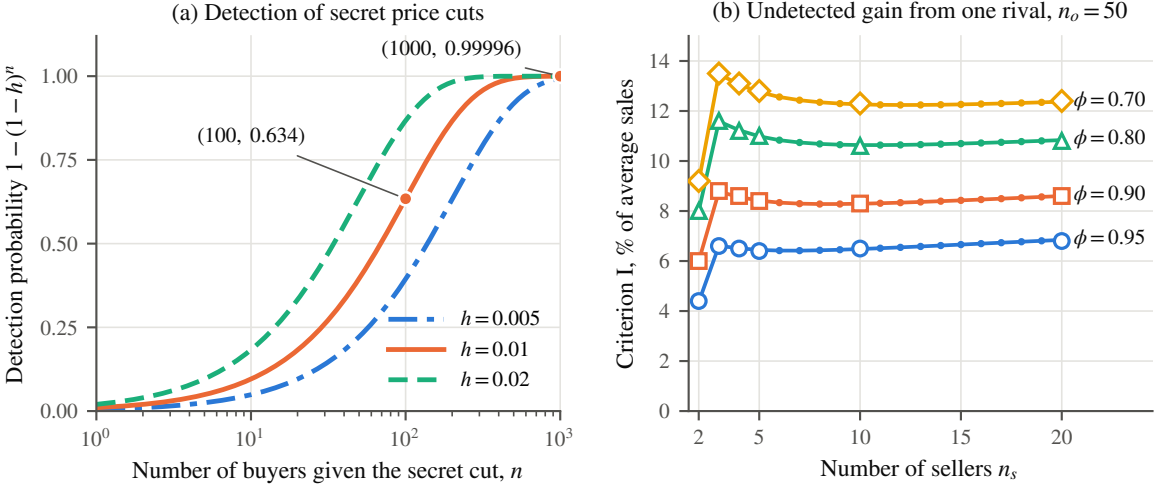
(a) Detection of secret price cuts
(1000, 0.99996)
(100, 0.634)
Detection probability $1-(1-h)^n$
1.00
0.75
0.50
0.25
0.00
10^0
10^1
10^2
10^3
Number of buyers given the secret cut, n
$h = 0.005$
$h = 0.01$
$h = 0.02$
(b) Undetected gain from one rival, $n_o = 50$
Criterion I, % of average sales
14
12
10
8
6
4
2
0
2
5
10
15
20
Number of sellers n_s
$\phi = 0.70$
$\phi = 0.80$
$\phi = 0.90$
$\phi = 0.95$